

Syllabus for Econ 102, Principles of Macroeconomics

(This version: January 23, 2012)

Yao Tang, Spring 2012

Department of Economics

Bowdoin College

Lecture time: T 8:30 - 9:55, TH 8:30 - 9:55

Place: Searles-223

Contact information

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Please note, I may not check emails frequently during evenings and weekends.

Course Description and Objectives

Macroeconomics concerns itself with the aggregate behavior of the economy. For most students, Econ 102 is the first course (and maybe also the last!) they take in macroeconomics. Materials covered in this course will prepare students for further study of economics. For those who do not continue to pursue economics, this course will also offer valuable knowledge useful in one's life.

The course will begin by looking into the measurement of key macroeconomic variables: national output, inflation and unemployment. We will then examine the determination of output in the long run and short run, and whether economic policies can mitigate short run fluctuations.

Textbook and Reading Materials

Required textbook: Frank and Bernanke, *Principles of Macroeconomics*, 2nd edition (brief), McGraw-Hill Irwin. I will provide on Blackboard a list of readings extracted from news media and other sources as the semester progresses.

Quantitative Reasoning program

Matthew Cowin will be the QR program study group leader for this course. He will hold regular sessions for students who seek extra work on quantitative skills that are useful in this course.

Web information

All information, including information about reading materials, will be posted on the Blackboard web page for Econ 102, accessible at <http://blackboard.bowdoin.edu/>.

Evaluation: your course grade is based on

assignments, 10%

first midterm exam, 25%

second midterm exam, 25%

final exam (cumulative), 35%

class participation, 5%

student presentation (optional), 4%

There will be periodic assignments throughout the semester. Some of the assignments are individual assignments, meaning that each student must hand in a copy of the answers. Other assignments are group assignments, where a group of students (up to a maximum of four people) submit a single copy. The idea behind having two types of assignments is to encourage peer learning while keeping track of individual progress in the course. Before the solutions are posted, late submissions are acceptable at a penalty of 20%. Makeup exams can only be arranged in advance for family or medical emergencies. According to the college registrar, the final exam period is between May 14th and 19th.

To encourage students to connect learning to real-world issues and to engage in active learning, a student (or a group of students) has the option of doing a 5-minute in-class presentation. The presentation should supply extra background information about a macroeconomic issue in this course, or apply an economic idea we learn to a real-world setup. Formats of presentations include but are not limited to: analyzing a recent newspaper or magazine article, showing and commenting on a short video, singing a song, sharing a photo journal, and performing a short skit. We will have at most one presentation each lecture and each student can perform at most one presentation. Students who wish to present **MUST** email the instructor two days before the lecture so that proper arrangements can be made. Students are also welcome to contact the instructor for help with their presentations. The presentations will be graded based on the relevance to the course content and effectiveness. See page 5 of the syllabus for a list of suggested topics matched to specific lectures.

Academic Honesty

Students should be familiar with the Bowdoin College Academic Honor Code, available at <http://www.bowdoin.edu/studentaffairs/student-handbook/college-policies/index.shtml>

In particular, for the individual assignments, students are encouraged to work together but they must each hand in their own copy of answers.

Tentative Schedule of Topics

Please note I reserve the right to change the order of topics, or to drop topics from the list. However, I will not add new topics.

1. January 24, Course introduction

2. Key macroeconomic variables

- January 26, GDP, Chapter 4
The Wall Street Journal, Nations Seek Success Beyond GDP
The Economist, The joyless or the jobless
- January 31, Inflation, Chapter 5
- February 2, Unemployment, Chapter 6
BBC News, US unemployment rate falls sharply to 8.6%
The Economist, Long-term unemployment: In the bleak midwinter
The Wall Street Journal, U.S. Job Market Shows Ills of Europe

3. Economic growth in the long run

- February 7, The importance of economic growth and introduction to the Solow model, Chapter 7
- February 9, Solow model: physical capital can't generate economic growth
- February 14, Using the Solow model to explain differences in income and growth
- February 16, Sources of sustained growth: technology, Chapter 7
The Economist, The secret sauce

4. Saving, capital formation, financial markets and money

- February 21, Private and national saving, Chapter 8
The Wall Street Journal, Spenders Become Savers, Hurting Recovery
- February 23, Financial market, Chapter 9

- **February 28, in-class midterm 1**
 - March 1, What is money, Chapter 9
The Wall Street Journal, China Hits Brakes on Economic Stimulus
 - March 6, Commercial banks and the creation of money, Chapter 9
 - March 8, Central banks and the financial market, Chapter 12
NY Times, Fed Missed This Bubble. Will It See a New One?
LA Times, Estimate of TARP losses falls to \$25 billion
Businessweek, Fed's Once-Secret Data Compiled by Bloomberg Released to Public
Bloomberg Market Magazin, Secret Fed Loans Gave Banks \$13 Billion Undisclosed to Congress
5. The economy in the short run: the basic Keynesian model
- March 27, Short run fluctuations, Chapter 10
 - March 29, Spending and output in the short run, Chapter 11
 - April 3, Output stabilization and fiscal policy, Chapter 11
 - April 5, The debate about the effectiveness of fiscal policy, Chapter 11
The Economist, Much ado about multipliers
 - April 10, Government budget deficit and fiscal crisis
The Economist, The budget and the deficit: An opportunity wasted
The Wall Street Journal, U.K. Embraces Austerity
The Wall Street Journal, Voters Back Tough Steps to Reduce Budget Deficit
BBC News, Angela Merkel: Germany's 'Frau Nein'
6. The economy in the short run: central bank in a modified Keynesian model
- April 12, Adding the central bank to the Keynesian model, Chapter 12
NY Times, China Lifts Rates Again to Cool Inflation
 - April 17, Unconventional monetary policies
The Economist, Economic focus: War Footing
The Economist, South Sea QE
LA Times, Bernanke totes up pros and cons of more stimulus
The Economist, The Fed's big announcement: Down the slipway
The Economist, Prices or jobs
The Wall Street Journal, Fed Chief Edges Closer to Using Rates to Pop Bubbles

- April 19, Discussion on monetary policy: central bank independence, bubbles, and the gold standard
 NY Times, Bernanke's Bid for a Second Term at the Fed Hits Resistance
 The Economist, Policy punchbags
 Anil K. Kashyap and Frederic S. Mishkin, The Fed Is Already Transparent
 The Wall Street Journal, Fed Will Detail Rate Plans, Easing Market Guesswork
 Martin Wolf, Could the world go back to the gold standard?
 BBC News, Is the euro about to capsize

- **April 24, in-class midterm 2**

7. The economy in the short run: the Aggregate Supply and Aggregate Demand (AS-AD) model
 - April 26, The AS-AD model, Chapter 13
 - May 1, The role of market in the AS-AD model, Chapter 13
 - May 3, Economic policy in the AS-AD model, Chapter 13
 - May 8, Overflow

Suggested Topics for Presentations

1. March 8: the hyperinflation in Weimar Republic (Germany) in the 1920s.
2. March 29: the "great recession" in the late-2000s.
3. April 5: the American stimulus package of 2009
4. April 10: how serious is the deficit problem of the US?
5. April 19: why does Ron Paul want to end the Fed?
6. May 3: the key economic policies of the front-runner of the 2012 GOP primary.